



TravelTide

Customer Segmentation





Agenda

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Introduction

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**Customer
Segmentation**

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**Analysis &
Insights**

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**Conclusion and
Recommendations**



Goal

- Elena's mission is to design and execute a personalized rewards program that keeps customers returning to the TravelTide platform.
- The goal of the project is to determine the most appealing rewards for individual customers based on their behavior and preferences, subsequently categorizing customers into groups according to their preferred perks



Perks



Free Hotel Meal

Identify customers who frequently book hotels



Free Checked Bag

Identify customers who typically book flights with multiple checked bags



No Cancellation Fees

Identify customers who frequently cancel trips



Exclusive Discounts

Identify customers who actively seek and use flight discounts



1 Night Free Hotel

Identify customers who often book both flights and hotels together

Key Numbers

Total Customers: 5998

Total Revenue: \$7,46M

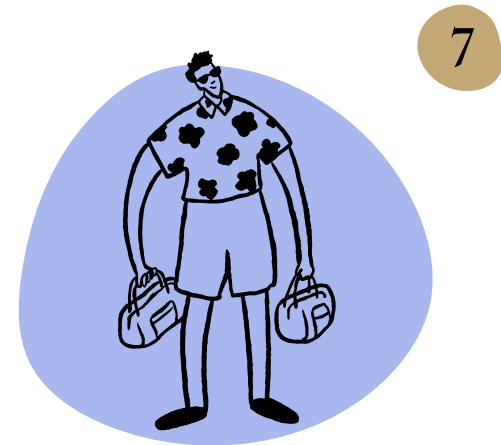
Average Customer Value: \$1,243

Customer Segments Identified: 6

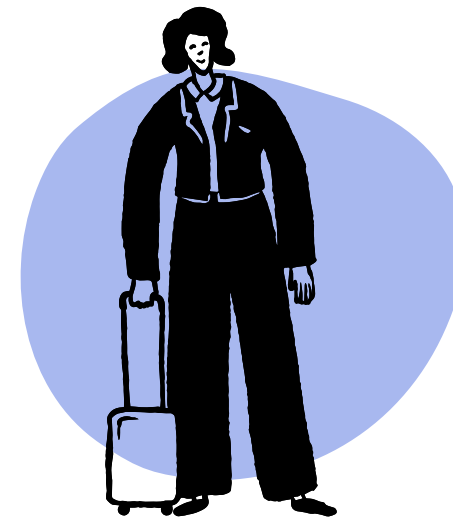


Cluster

silhouette scores: 0.1978



Family Package



Premium Elites



Hotel Loyalists



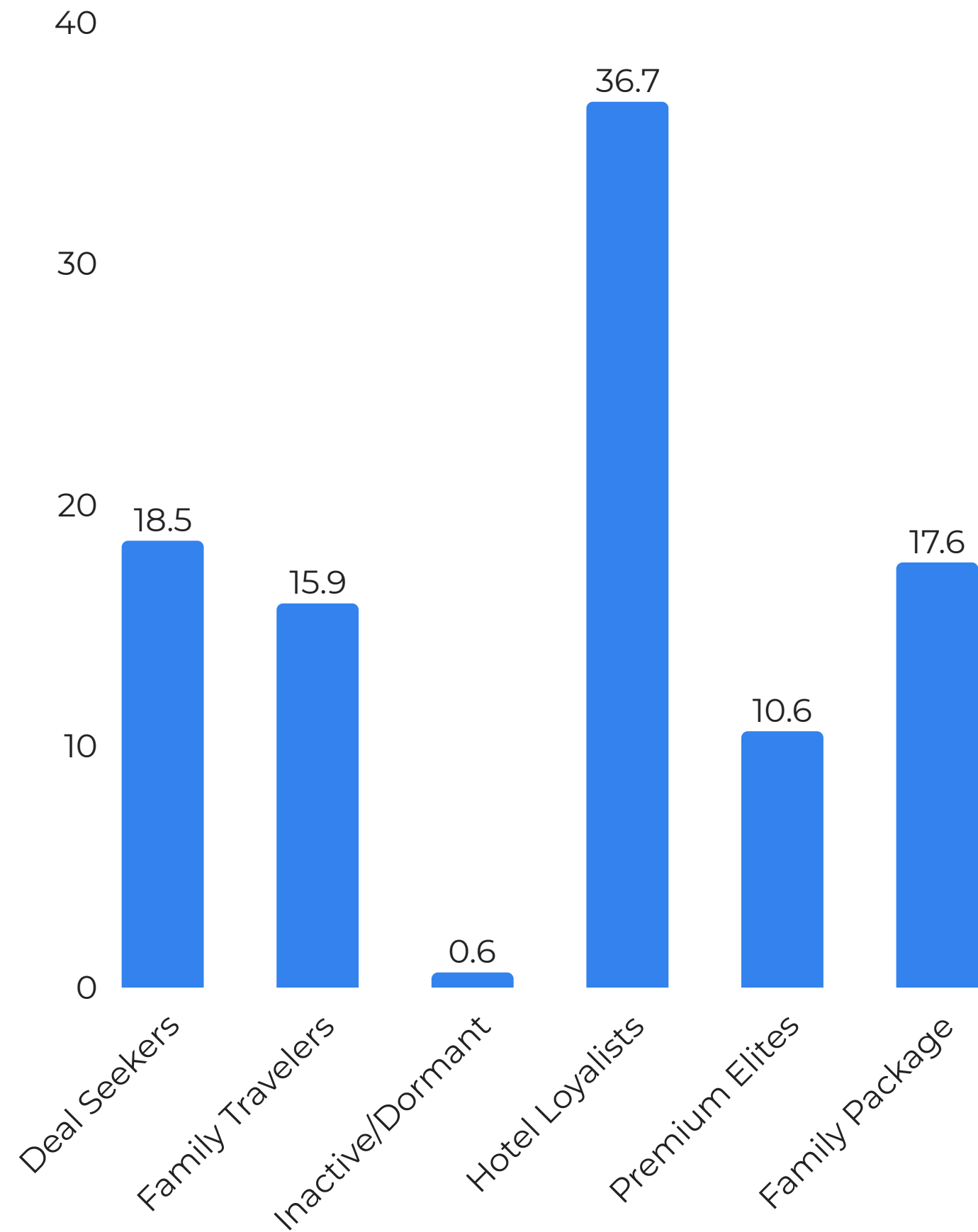
Family Travlers



Deal Seekers



Inactive

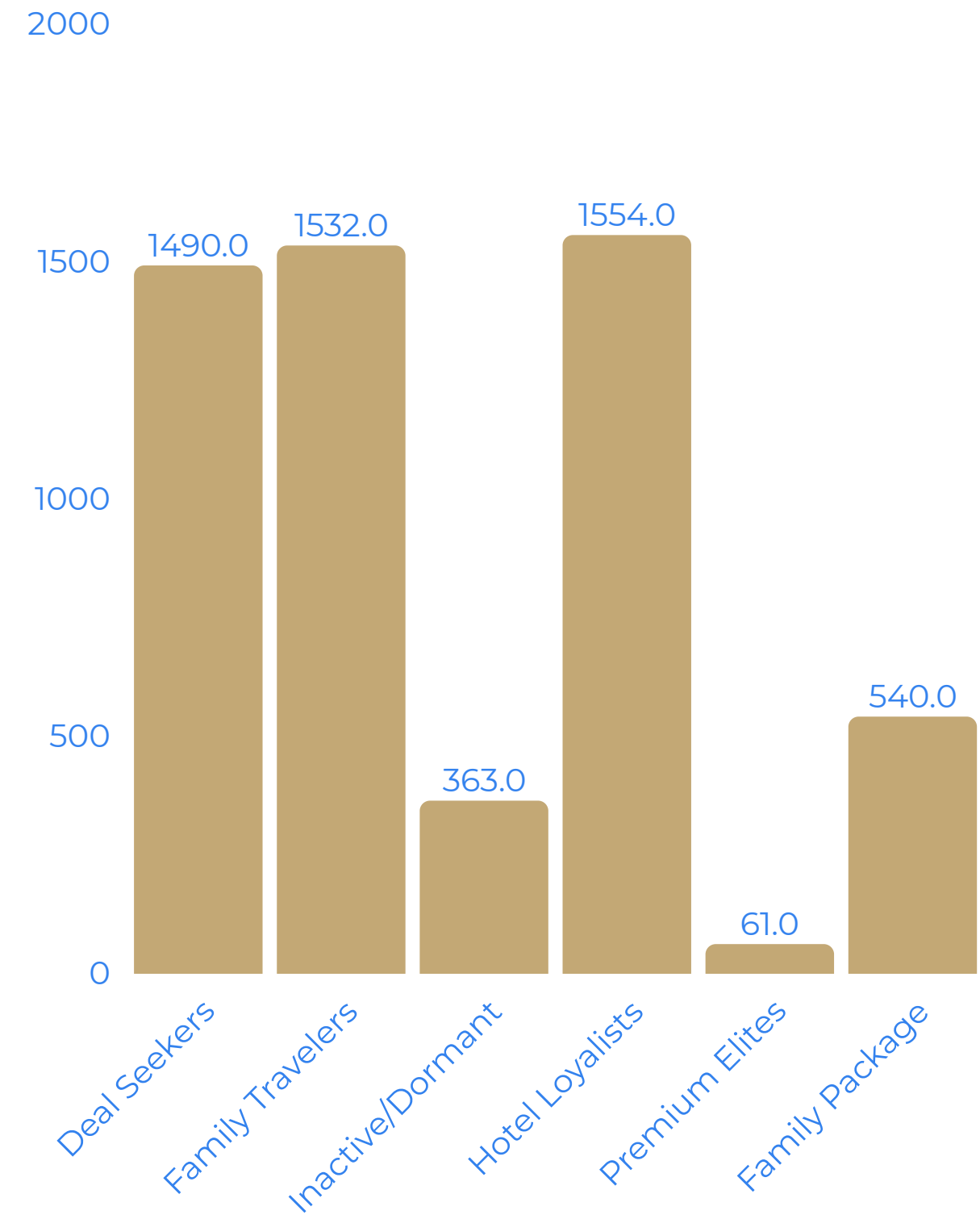


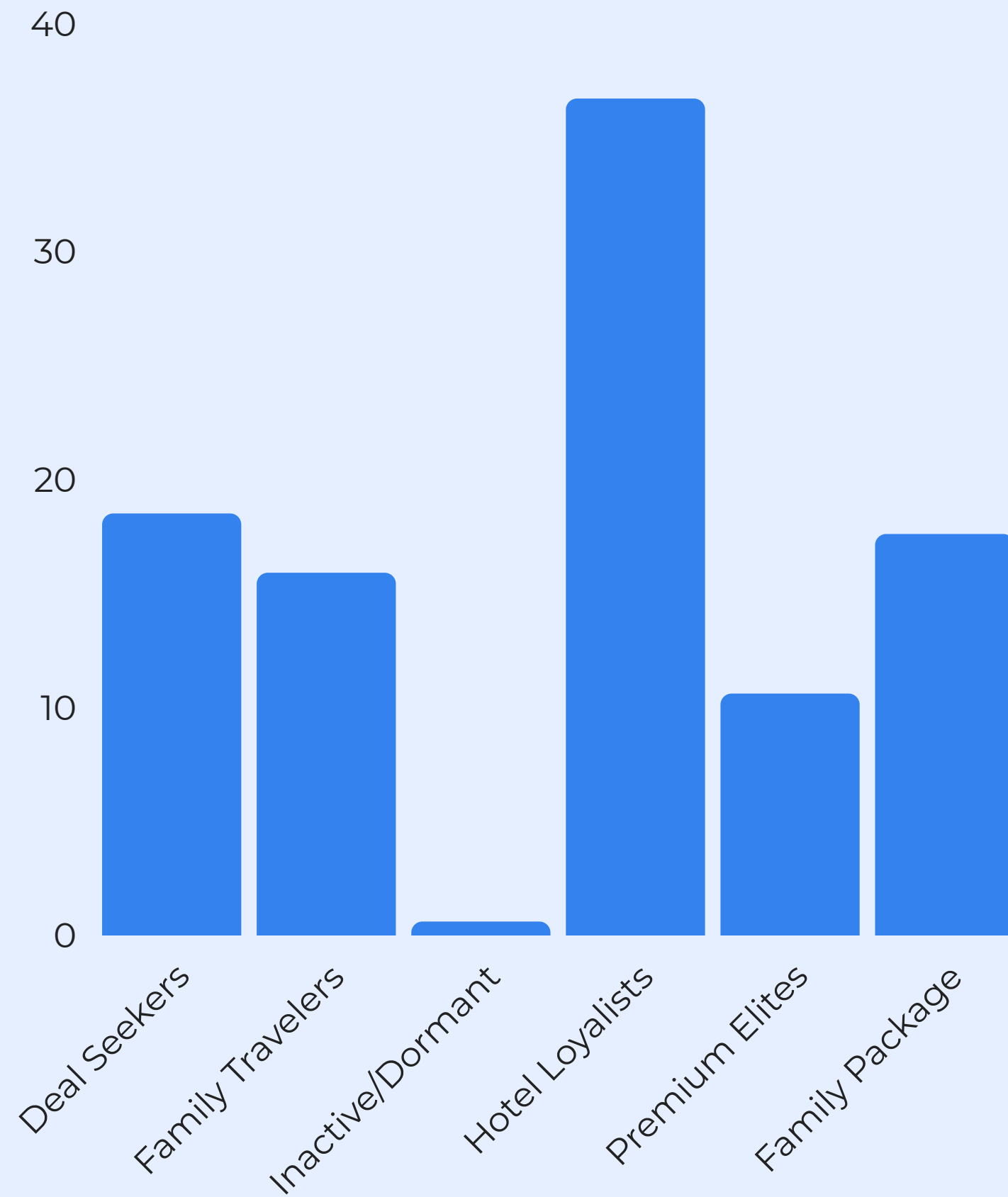
Revenue Share

- 70% of revenue comes from just three segments (Hotel Loyalists, Deal Seekers, Family Package).
- Premium Elites are strategically relevant due to their very high individual spending.
- Inactive/Dormant groups contribute almost nothing and are prime targets for reactivation campaigns.

Segment Size

The company's customer base is concentrated in three big groups, while the premium and dormant segments are niche but potentially impactful.





Average Spending

High-value per-customer revenue is driven by Premium Elites and Hotel Loyalists, while large segments like Deal Seekers and Family Travelers generate volume but at lower individual value.



Inactive

0

3

6

Inactive or low-spending customers
with little current impact

Customers: ~820 combined

Average Spending: \$0-\$126

Revenue Share: ~0.6%

Destinations: 0.3 average

Key Insight: Currently not contributing to
revenue. Still relevant as a reactivation
target.

Recommended Perks:

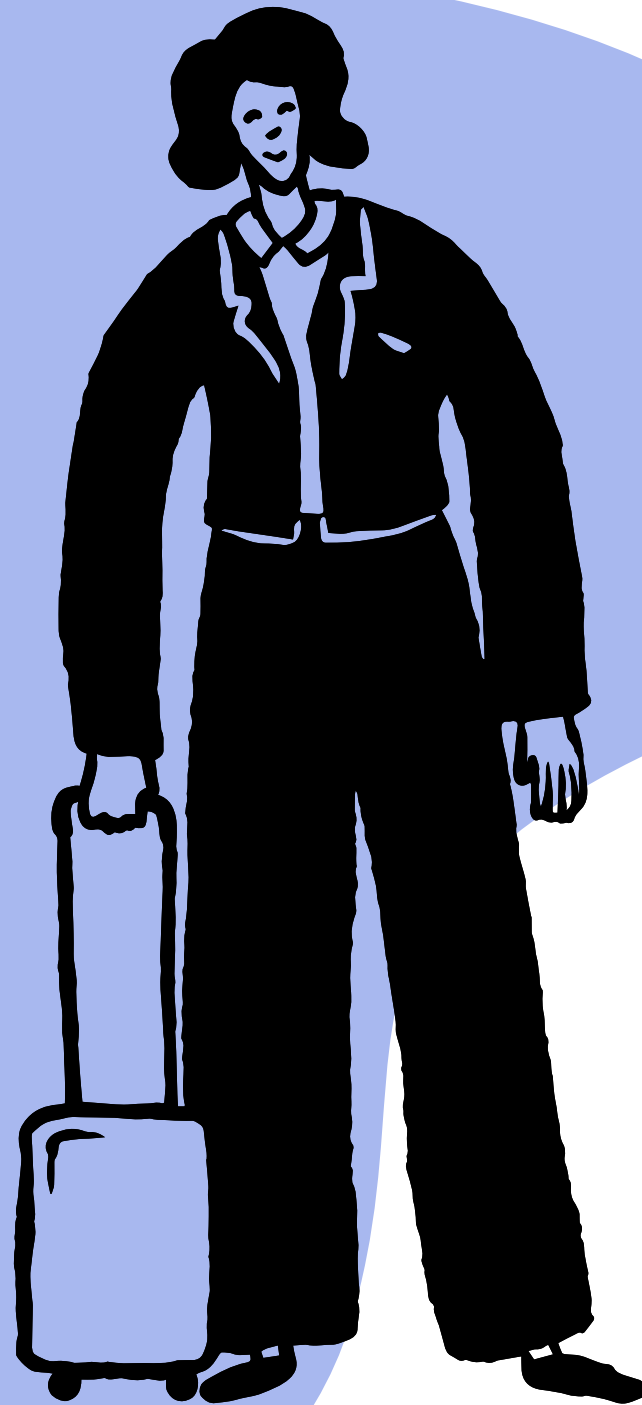
"No Cancellation Fees"

"Welcome Bonus 10%"

"1 Night Free Hotel (activation attempt)"



Business Goal: Re-engage inactive
travelers and test activation incentives



Premium Elites

5

Ultra-premium frequent flyers with
concierge-level needs

Customers: 61

Average Spending: \$12,959

Revenue Share: 10.6%

Destinations: 1.8 average

Key Insight: Tiny segment but highest
spending per customer, strategically
important.

Recommended Perks:

"1 Night Free Hotel"

Business Goal: Maximize value and retain
ultra-premium customers



Hotel Loyalists

4

High-spending frequent travelers
with strong hotel preferences

Customers: 1,554

Average Spending: \$1,760

Revenue Share: 36.7%

Destinations: 3.7 average

Key Insight: This is the largest and most
valuable segment, contributing more than
one-third of all revenue.

Recommended Perks:

“Free Hotel Meal”

Business Goal: Encourage hotel loyalty
and retentioners



Deal Seekers

2

Price-sensitive travelers driven by discounts

Customers: 1,490

Average Spending: \$928

Revenue Share: 18.5%

Destinations: 2.0 average

Key Insight: A large segment that generates strong volume but lower individual spending.

Recommended Perks:

“Exclusive Discounts”

Business Goal: Increase engagement through promotions and deals



Family Package

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High-value families and groups with
bundled needs

Customers: 540

Average Spending: \$2,436

Revenue Share: 17.6%

Destinations: 2.5 average

Key Insight: Smaller in size, but very high
per-customer spending, making them
premium families.

Recommended Perks:

“Exclusive Discounts”

Business Goal: Upsell group and family
travel experiences



Family Travelers

2

Stable mid-value segment with
baggage needs

Customers: 1,532

Average Spending: \$776

Revenue Share: 15.9%

Destinations: 1.6 average

Key Insight: Large and stable base, good
long-term value.

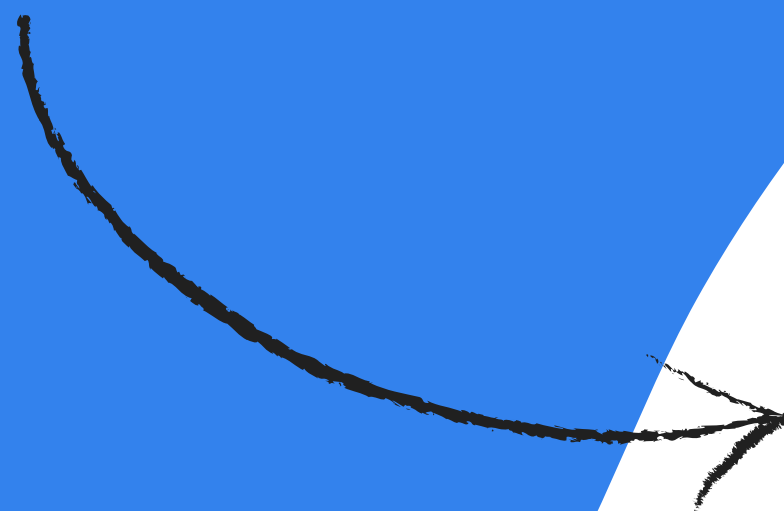
Recommended Perks:

“Free Checked Bag”

Business Goal: Retain families and high-
baggage travelers

Thank you!

@42KIKO



<https://github.com/42kiko/traveltide>